



Time: 4 minutes

Outcome: Distinguish microeconomic and macroeconomic questions.

Difficulty: Beginner

Microeconomics vs. Macroeconomics

THE CORE IDEA

Microeconomics studies choices by households, firms, workers, and individual markets. Macroeconomics studies economy-wide outcomes such as output, inflation, and unemployment. One event can require both kinds of analysis. The distinction is the unit of analysis, not the size of an organization or dataset.

HOW TO RECOGNIZE IT

- A report tracks national inflation, unemployment, and total output.
- A firm decides how much labor to hire at one restaurant.
- Microeconomics can use massive data while focusing on individual choices and specific markets.
- A bakery studies how customers respond to a muffin price increase.
- Microeconomics studies choices by households, firms, and specific markets.

WATCH OUT

A common mistake is to label any large organization as macroeconomic. The classification depends on the unit of analysis: one decision-maker is micro; economy-wide aggregates are macro.

WORKED EXAMPLE: MICRO OR MACRO?

A restaurant deciding whether to hire one more server is a microeconomic question because it concerns one firm's choice. The national unemployment rate is a macroeconomic outcome because it aggregates labor-market conditions across the economy. The subject's size is not decisive; the unit of analysis is.

CHECK YOURSELF

A national retailer studies how its own customers respond to a price increase. Is that question microeconomic or macroeconomic, and why?